THE PRACTICAL MINI GUIDE

Starting a business in Germany

Self-employment permission, trade or freelance activity, taxes and startup advice.



Inside this guide

Check whether your current status permits self-employment / Describe the activity before choosing the registration route / Plan taxes, records and insurance from the beginning

GOOD TO KNOW

01 Check whether your current status permits self-employment

Read the permission and conditions in your residence document before advertising a service or accepting paid assignments. EU citizens and people with third-country residence titles have different starting points. For Ukrainians with temporary protection, check the actual employment wording and current official guidance. The ordinary residence route for entrepreneurs is a separate topic; do not assume that everyone needs a new entrepreneurial visa, or that every existing permit automatically allows independent work. Resolve uncertainty with the foreigners authority.

02 Describe the activity before choosing the registration route

Germany distinguishes freelance professional activity, commonly called Freiberuflichkeit, from a commercial trade, Gewerbe. The substance of your work and the applicable professional rules matter. A trade is generally registered with the responsible trade office; freelance professional activity is handled through the tax authorities. Check whether your profession needs recognition, a professional licence, chamber registration or other authorisation before you begin operating.

GOOD TO KNOW

03 Plan taxes, records and insurance from the beginning

Prepare a modest business plan showing customers, costs, expected income and the practical way you will deliver your service. Arrange the required tax registration and ask which declarations and invoicing rules apply to your activity. VAT treatment depends on your circumstances; do not assume a small business is outside all tax obligations. Clarify health insurance and any other compulsory professional cover. Keep business and personal records organised, retain invoices and reserve money for payments that may arise later.

04 Use local advice and test the idea carefully

Use the official Make it in Germany start-up guidance to map the process and find the relevant authorities. The local IHK, Handwerkskammer where appropriate and municipal business-development services can help you identify suitable advice and networks. Start by checking demand, discussing the idea with potential customers and listing open administrative questions. Record which authority answered each question and what still needs clarification.

Common questions

Can I choose Freiberufler simply because I work alone?

No. Working alone does not determine the classification. It depends on the actual activity and applicable rules. Describe the work accurately and clarify its treatment with the tax authority or a qualified adviser before relying on freelance status.

Does temporary protection mean I need a separate entrepreneur visa?

Not necessarily. Existing residence permissions may already allow self-employment, but the actual document and conditions must be checked. A dedicated entrepreneurial residence route is a different legal path. Ask the foreigners authority which route applies to your own circumstances.

Can I open the business first and sort insurance out later?

Plan insurance and registration before taking on work. Health-insurance responsibilities and any professional cover depend on the activity and personal situation. Ask the responsible insurer and authority when obligations begin, and budget for them rather than treating them as optional future costs.

Sources and useful links

Make it in Germany — starting a business

Germany4Ukraine — work and support

Bundesgesundheitsministerium — health insurance

The procedure depends on residence documentation, activity and location. The primary sources below help clarify the requirements for your circumstances.

Explore more on Sweezy